

From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: US MARKETS CALL: Invasion Of The Bond Vigilante Algorithms
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YARDENI QUICKTAKES

US MARKETS CALL: Invasion Of The Bond Vigilante Algorithms

By Ed Yardeni & Toby Hearst • 26 Sept 2026

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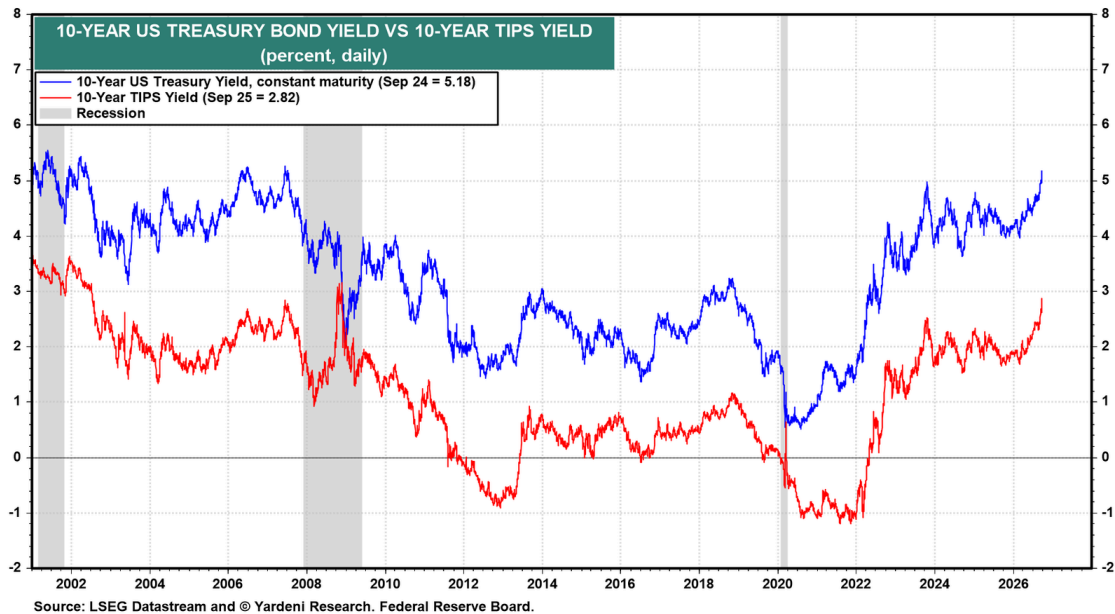


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I. Credit

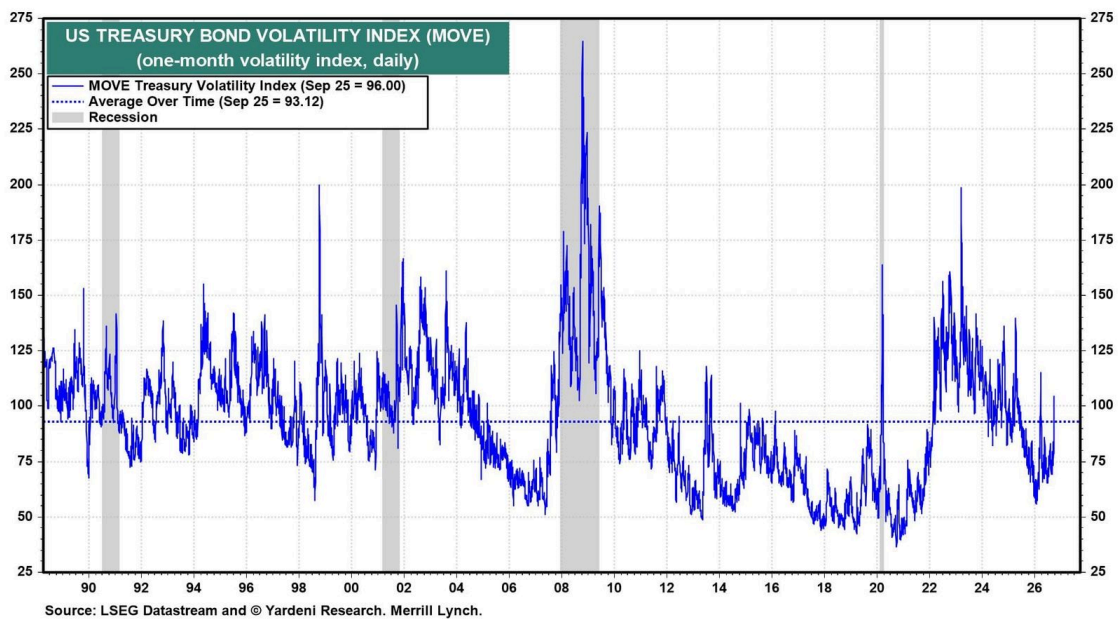
Last week's events confirm our "Proceed With Caution" call in September 15's QuickTakes. The main event was the jump in the 10-year US Treasury yield above 5.00% to an intraday high of 5.22% on Friday (chart). At the end of the day, it closed lower, at 5.18%, after news that

Iran proposed reopening the Strait of Hormuz and ending fighting in the Middle East war. The *Wall Street Journal* subsequently reported that President Donald Trump has told his staff privately that he's skeptical that Iran will meet his demands and that the US likely will launch a renewed bombing campaign after the November midterm elections.



We suspect that the bond market has been hacked by Bond Vigilante algorithms. They respond to news headlines with huge trades that exacerbate bond market volatility (chart). The US Treasury bond volatility index (a.k.a. MOVE) jumped sharply higher on Friday.

We also suspect that the unwinding of the yen-carry trade might explain the worldwide uptrend in bond yields. Of course, central banks have also been tightening in response to the inflation shock from the Middle East war.

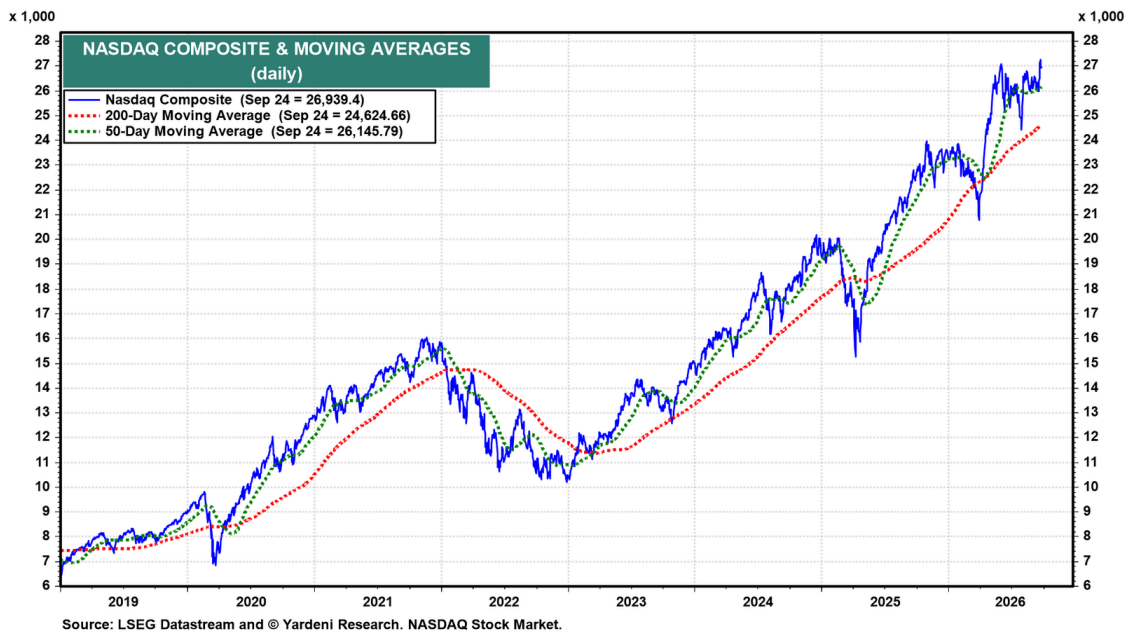


The credit market always sees trouble coming before the stock market does—for example, the news Friday that a big data center project is being halted.

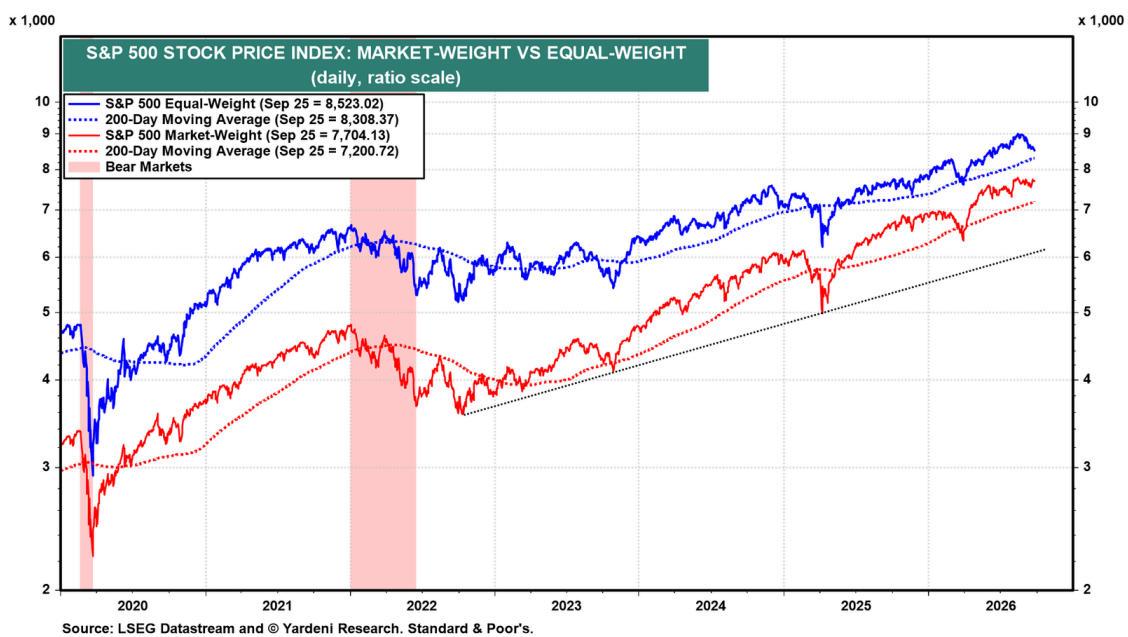
Oracle, SoftBank, and OpenAI are tied together in the \$500 billion “Stargate” alliance; OpenAI provides the model demand, SoftBank arranges the massive capital, and Oracle provides the cloud infrastructure to train the next generation of frontier AI models. On Friday, Oracle issued a force majeure notice on Project Jupiter, the flagship 2.45 GW New Mexico data center, because the state denied the 17-mile gas pipeline permit to power its Bloom Energy fuel cells. The banks that funded the construction are stuck with more loans than they planned to hold for now.

II. Performance

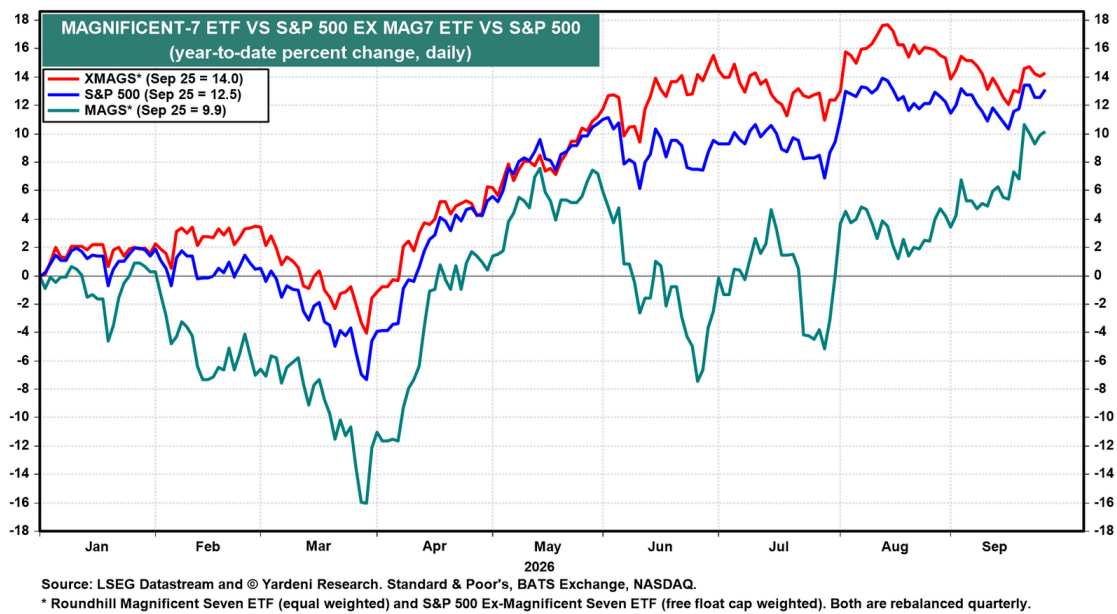
So far, the stock market hasn't been troubled by these developments in the credit market. Indeed, the Nasdaq rose to a new record high on Tuesday of last week (chart).



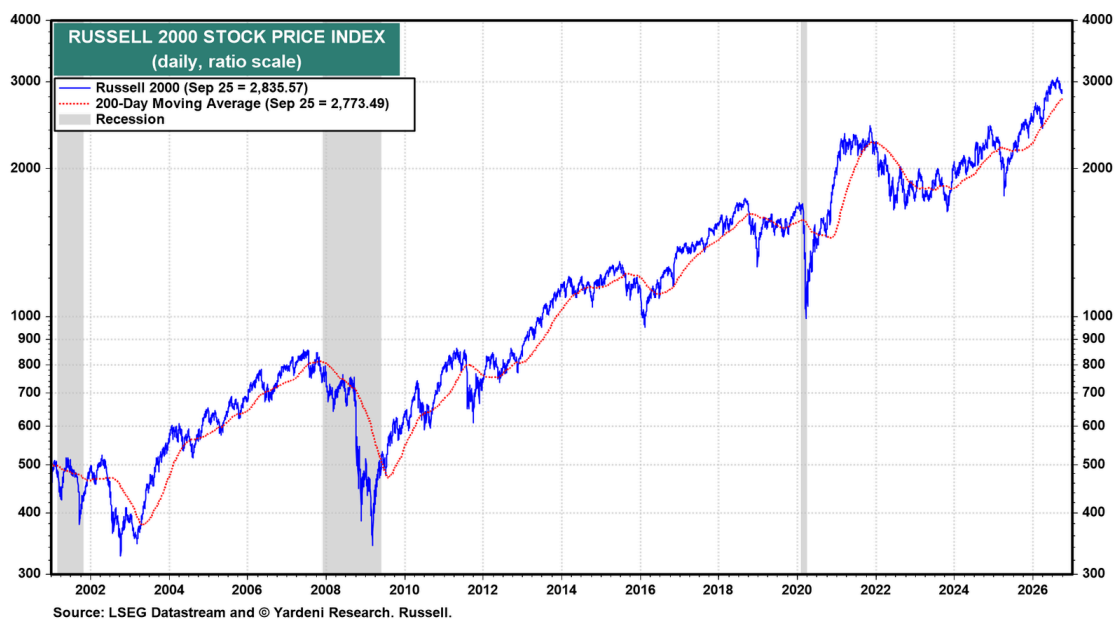
The S&P 500 closed on Friday at 7743.41, only 0.7% below its August 13 record high (chart). Less reassuring, the equal-weight S&P 500 is down 5.2% over the same period. But it remains just above its 200-day moving average.



Concerns about market concentration are back, as the Magnificent-7 have outperformed the Impressive-493 since mid-August (chart).

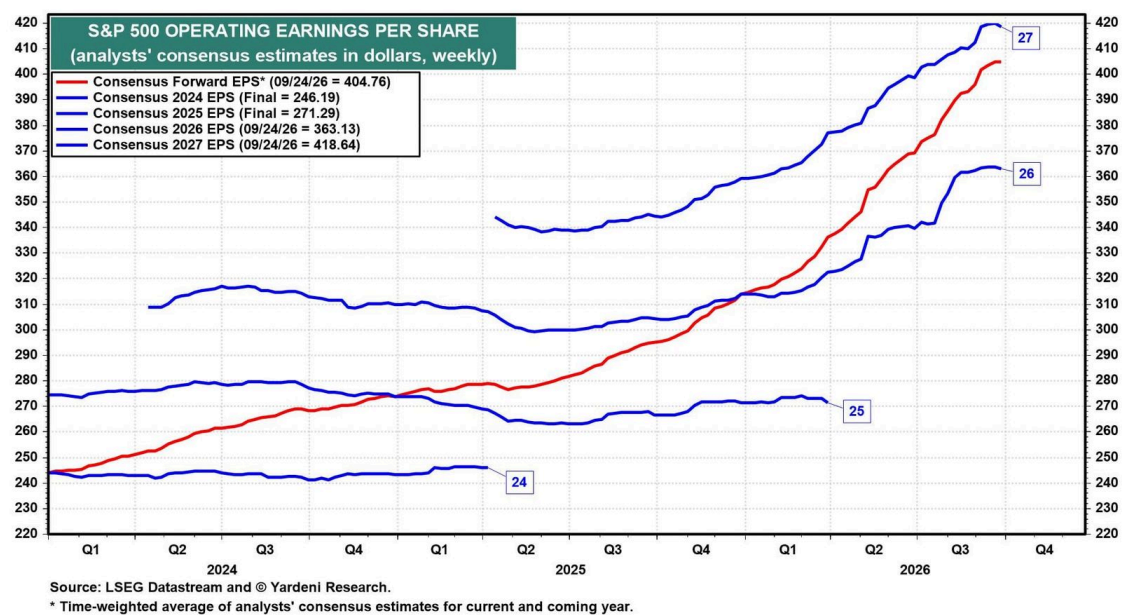


The Russell 2000 is also down 7.6% from its record high on August 14, though it is still above its 200-day moving average (chart). The index is sensitive to interest rates and recession odds.

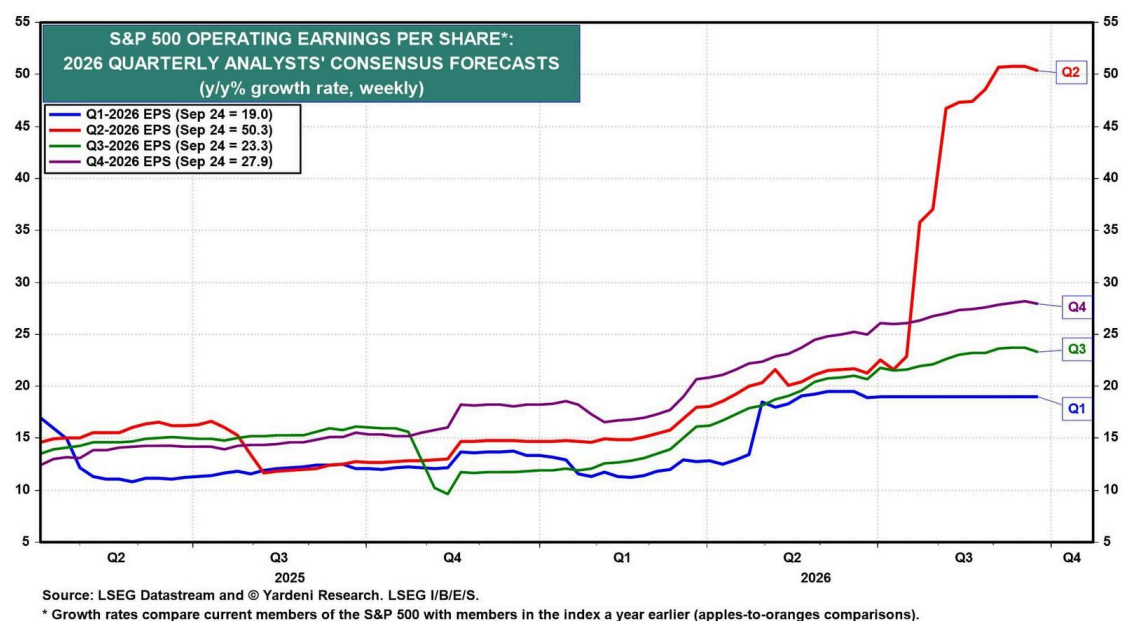


III. Earnings

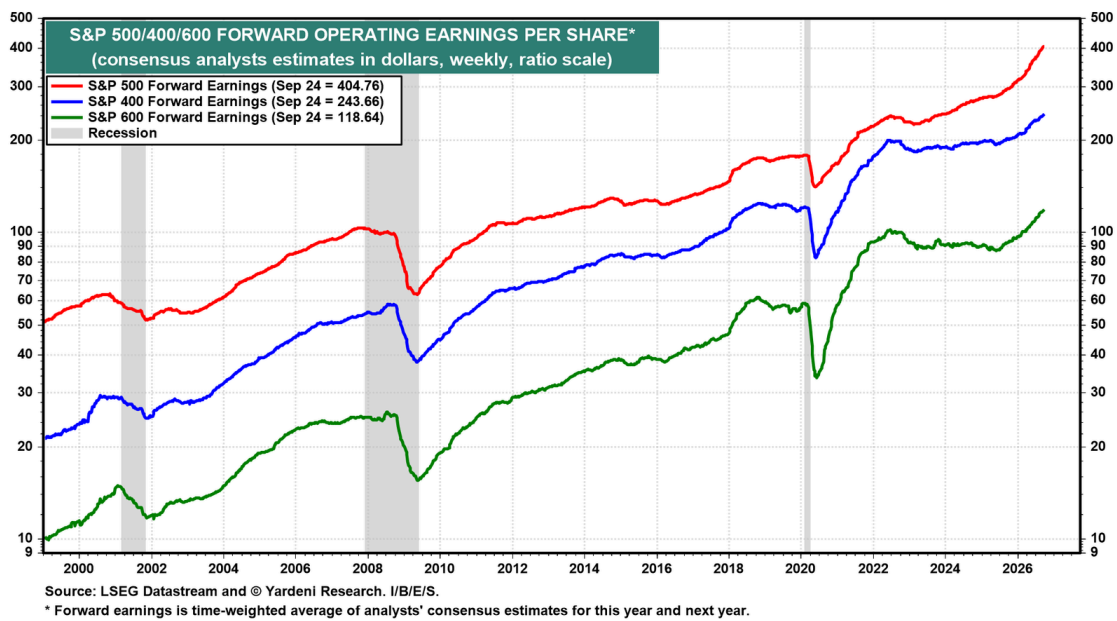
Better-than-expected economic growth has also pushed bond yields higher. Of course, a strong economy generates strong corporate earnings. The forward EPS of the S&P 500 edged down last week from its record high the week before (chart). We expect the uptrend to resume as companies report Q3 earnings in October. The quarter's real GDP is tracking at 5.0% saar, according to the Federal Reserve Bank of Atlanta's [GDPNow](#) model.



Industry analysts slightly lowered their EPS growth estimates for Q3 and Q4 last week (chart). That's typical as a reporting season approaches.

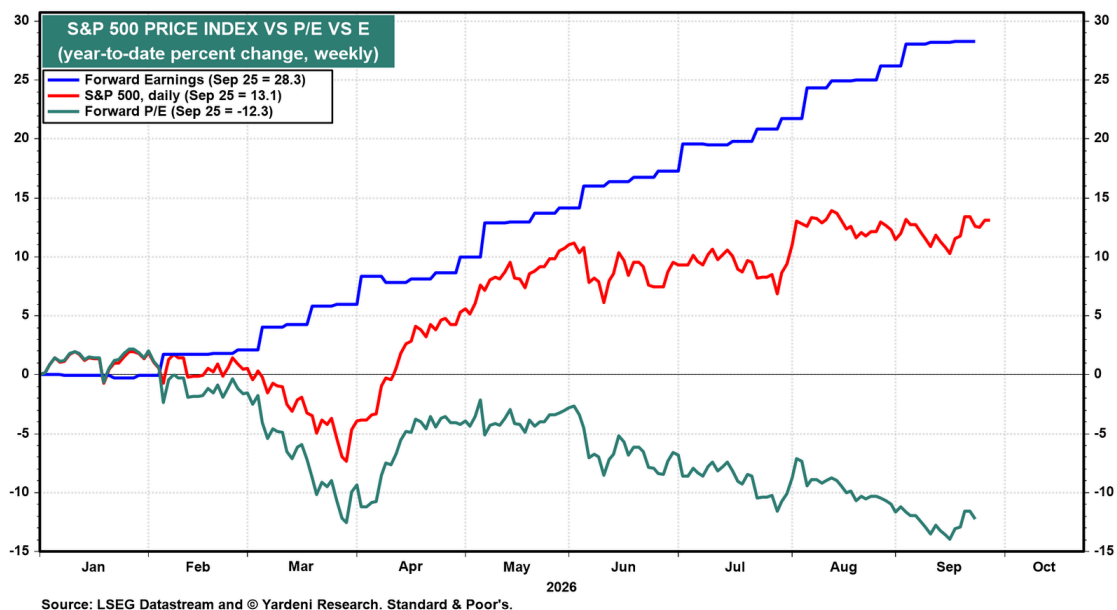


Nevertheless, the uptrends in the forward EPS of the S&P 500, S&P 400, and S&P 600 remain intact.

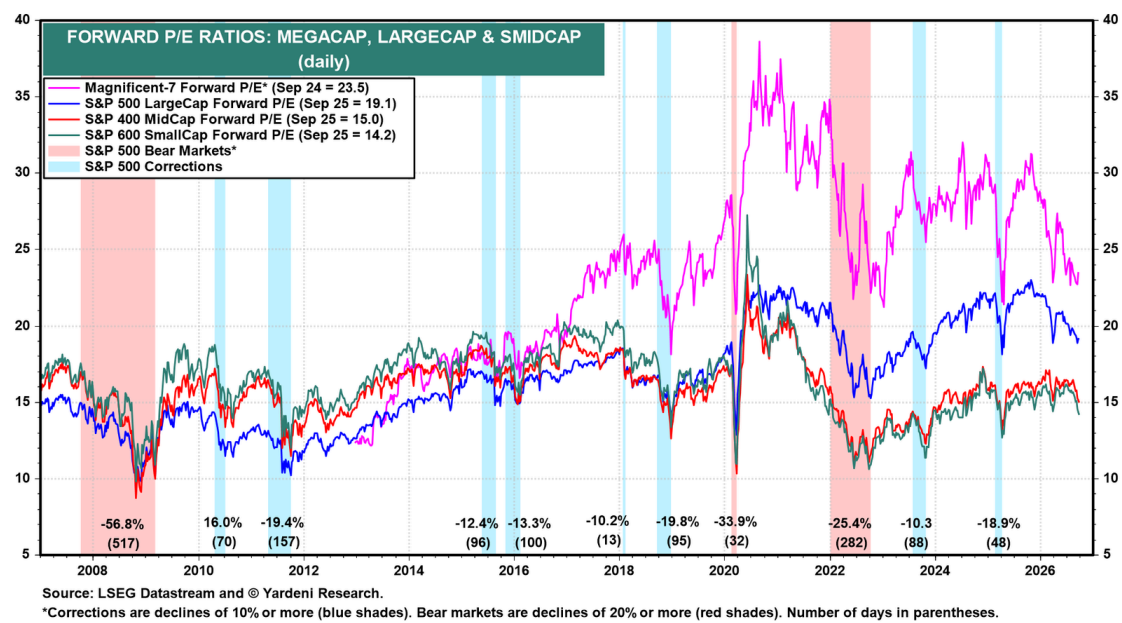


IV. Valuation

While S&P 500 forward earnings is up 28.3% ytd, the forward P/E is down 12.3% (chart). The index has gotten cheaper as earnings growth outpaced the stock price index.

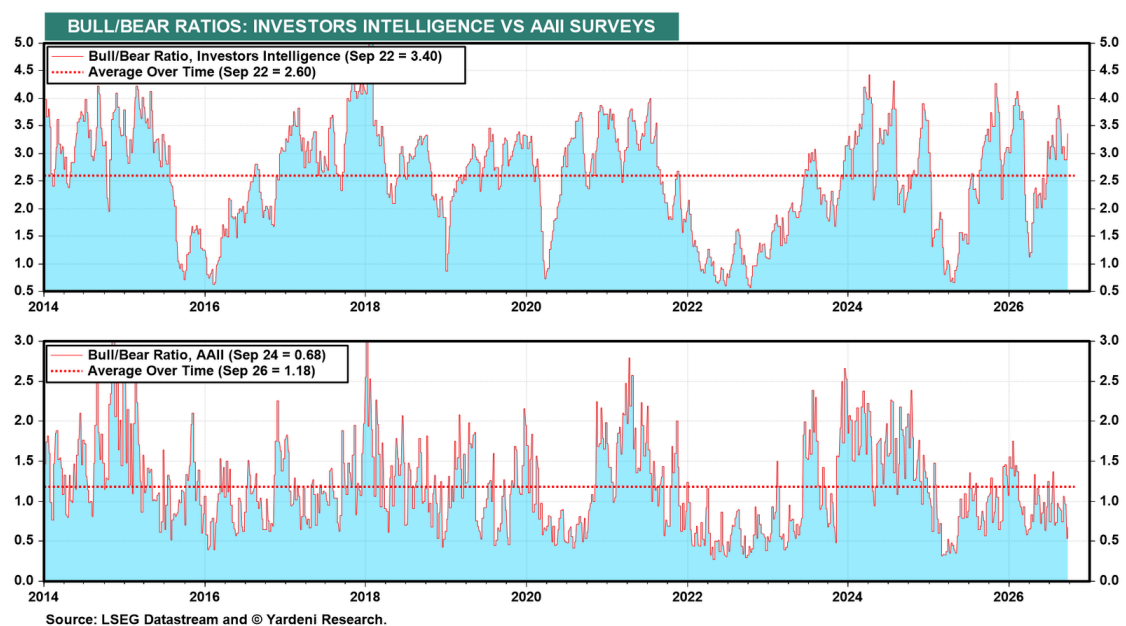


While the earnings outlook remains very strong, the valuation multiple may continue to fall in response to the concerns we reviewed on September 15 when we advised proceeding with caution (chart). That's why we pushed our 8400 target for the S&P 500 from the end of this year to the middle of next year. We are now targeting 7900 by the end of this year.



V. Sentiment

The bull-bear ratios we follow are mixed (chart). In tandem, they are not providing either a buy or a sell signal.



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